Liability of Competent Person for JORC Reports*

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ABSTRACT

When preparing JORC reports on Exploration Results, Mineral Resources or Ore Reserves for disclosing entities, Competent Persons should bear in mind the potential liabilities involved. These include administrative sanctions from professional organisations, and statutory liabilities, both civil and criminal. This paper examines these liabilities in detail, and outlines measures that Competent Persons can undertake to minimise them. The position of Competent Persons who are also directors is also discussed.

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INTRODUCTION

Disclosing entities that are subject to the Australian Securities Exchange (ASX) Listing Rules must, when preparing information on Exploration Results, Mineral Resources or Ore Reserves for disclosure to investors, potential investors and their advisers, comply with the Australasian Code for Reporting of Exploration Results, Mineral Resources and Ore Reserves (JORC Code).

This often arises in relation to listed mining companies' reporting requirements under ASX Listing Rule 5.6, but can also be relevant when preparing a report for a disclosure document (such as a prospectus for an initial public offering, rights issue, etc), bidder or target statement, or scheme of arrangement.

The JORC Code requires that the documentation on which such a report is based must be prepared by, or under the direction of, and signed by, a Competent Person or Persons (JORC Code, Clause 9).

This article provides a brief overview of the potential liabilities faced by Competent Persons as a result of their professional role in preparing their report. This article does not intend to cover the additional duties that affect Competent Persons who are also directors of the disclosing entity, nor does it seek to address liabilities that may arise in the circumstances involving deliberate fraudulent intent of a Competent Person.

It should be noted that all references to reports in this paper and in the JORC Code, are those reports that are released by the relevant company to the public. What this article focuses on is the documentation and material that has been prepared by the Competent Person and that is relied upon in any such report by the company, usually a public report. It is more often that a Competent Person will be providing material to a company for disclosure in a report by the company and not have his or her own report disclosed. This is to be compared to the Canadian System, which requires the Competent Person's report itself to be disclosed under NI 43-101.

APPLICATION OF THE JORC CODE

Who is a Competent Person?

A Competent Person must be a member or fellow of a recognised professional organisation with appropriate experience. Clause 10[2] of the JORC Code provides that:

> *A 'Competent Person' must have a minimum of five years experience which is relevant to the style of mineralisation and type of deposit under consideration and to the activity which that person is undertaking.*

This minimum hurdle of required experience is in accordance with the third of the three principles of the JORC Code, namely Competence. The first two principles, Transparency and Materiality set the background for the obligations of the Competent Person in favour of the investors and their professional advisers. Any failure of the Competent Person in the performance of those obligations may give rise to liabilities.

Changes to the JORC Code

There were a number of changes to the 2004 JORC Code. One of the changes that remains important to highlight is the recommendation to quantify risks. Under the 2004 JORC Code, Competent Persons are encouraged to quantify the risk and uncertainty relating to any Resource or Reserve estimates. This is presently not a mandatory requirement; however, it is recommended for Competent Persons, on the grounds that it is becoming an increasingly common practice within the industry. Despite not being mandatory, the fulfilment of such recommendations by a Competent Person may, it could be argued, assist to limit the scope of liability to which a Competent Person may be subject. It has been suggested, however, that by quantifying such risk and uncertainty, it could make it easier for an aggrieved party to take legal recourse.

2. Readers are referred to Clause 11 of the 2012 Code.

The better view, in the author's opinion, is that providing a quantification of risk, depending on the particular circumstances, is unlikely to increase the likelihood of litigation. At best it would assist in determining damages suffered, but not liability.

It is therefore a risk management technique; it is not a panacea. If you do your job in a less than careful and thorough manner, and without your methodology and verification clearly demonstrated, then any disclaimer or qualification of risk and uncertainty, will not help you.

There have been significant technical changes since 2004, culminating in the 2012 JORC Code.[3]

LIABILITY OF A COMPETENT PERSON

Sanctions and liability

Where a Competent Person fails to apply appropriate care and diligence in the preparation of documentation that is subsequently used as the basis for a public report or disclosure by a public company, that Competent Person may be subject to liability. There are various statutory or common law liabilities that may be incurred by a Competent Person due to losses suffered by third parties as a result of any such misleading or deceptive reports.

While liability for a report may well initially rest with the company that discloses it, the Competent Person may also be liable for the material and documentation prepared to produce that report.

Administrative sanctions

Complaints to relevant professional organisations

On an administrative level, complaints made in respect of the professional work of a Competent Person will be dealt with under the disciplinary procedures of the professional organisation to which the Competent Person belongs, whether that organisation is an Australian professional body or an approved ROPO (as published on ASX or JORC websites from time to time) in the list promulgated by the ASX from time to time. The relevant rules of the two Australian professional organisations are given below.

The Australasian Institute of Mining and Metallurgy (AusIMM)

If a complaint is raised against a Competent Person who is an AusIMM member, the complaints process as set out in the AusIMM By-Laws will apply. In the first instance the complaint is referred to the Complaints Committee.

The Complaints Committee may then:

- recommend that the complaint be settled by alternative dispute procedures in the case of a commercial dispute (AusIMM By-Laws 26(d)(i))
- refer the complaint to judicial processes where a breach of the law may have been committed (AusIMM By-Laws 26(d)(ii))
- discuss a breach of the JORC Code with the relevant regulatory authority and jointly agree a process for its resolution (AusIMM By-Laws 26(d)(iii))
- deal with the complaint if deemed within the authority of the Complaints Committee (AusIMM By-Laws 26(d)(iv))
- refer the complaint to the Ethics Committee if breaches of the AusIMM's Code of Ethics are alleged or suspected (AusIMM By-Law 26(d)(v))
- dismiss the complaint (AusIMM By-Laws 26(d)(iv)).

If the complaint is referred to the Ethics Committee, the Ethics Committee then has powers to warn or reprimand the member concerned, or resolve that the membership of the member concerned be suspended for a period not exceeding 12 months or that the member be expelled from the AusIMM (AusIMM By-Law 26(g)).

Australian Institute of Geoscientists (AIG)

Not dissimilar to the AusIMM procedure, the AIG Articles, AIG Code of Ethics and the guidelines for Ethics and Standards Complaints Management provide that the Ethics and Standards Committee may recommend to the Council of the Institute any one or more of the following:

- expulsion of the member
- suspension of a member and/or demotion to a lower grade of membership
- a range of more minor penalties
- an apology, published, or written or verbal may form part of any penalty.

Statutory liability

Misleading and deceptive reports – the Corporations Act 2001 (Cth)

In addition to the disciplinary actions of the relevant professional organisations, which can impact on a Competent Person's ability to work within the profession, there are statutory provisions that also impose pecuniary and other liabilities on a Competent Person arising from his or her material that is used in reports that are misleading and deceptive, or indeed, the reports themselves if issued by the Competent Person.

Civil and criminal liability

The relevant liability provision relating to a Competent Person under the Corporations Act will depend upon the nature of the requested use for the report. The source of liability under the Corporations Act for misleading and deceptive conduct may apply in the following circumstances:

- Company takeovers, compulsory acquisitions and buy-outs are set out in sections 670A and 670B.
- Fundraising documents, such as a prospectus – sections 728 and 729.
- Section 1041H (dealing with financial products or financial services).
- Section 1041E(1) provides a general prohibition against the making of false or misleading statements. The components of the provision may be paraphrased as follows:

  A person must not make a statement if (a) the statement is false in a material particular or is materially misleading; and (b) the statement is likely to induce another person; and (c) when the person makes the statement, the person does not care whether the statement or information is true or misleading or knows, or ought reasonably to

3. Readers are directed to the JORC website (http://www.jorc.org/about.asp) for a discussion of the changes between the 2004 and 2012 JORC Codes.

have known, that the statement is false in a material particular or is materially misleading.

- Part 9.4 of the Corporations Act also provides specific prohibitions against the making of false and misleading statements. Of particular relevance are sections 1308(2) and 1308(4).

Section 1308(2) provides a prohibition against persons making false and misleading statement in documents which must be lodged or submitted to ASIC. It states:

> *A person who, in a document which is required to be lodged or submitted to ASIC, makes or authorises the making of a statement that to the person's knowledge is false and misleading in a material particular, or omits to mention anything without which a document is, to the person's knowledge, misleading in a material respect, is guilty of an offence.*

Section 1308 (4) provides that a person is guilty of an offence if, in a document required to be lodged with ASIC, that person makes or authorises in the document false and misleading statements without having taken reasonable steps to ensure that the statement was not false or misleading.

Importantly, an officer or employee of a corporation who makes available information to a director, member or various other entities including auditors and the ASX, may also be guilty of an offence if that information is false and misleading, and it was known to the officer or employee that the information was false and misleading (section 1309).

Generally, liability for a misleading statement may arise simply if the Competent Person 'ought reasonably to have known' that the statement was materially misleading. The maximum penalty for contravention of s.1041E is 200 penalty units ($22 000) or five years imprisonment, or both.

Any documentation prepared by a Competent Person that is disclosed (usually via a report by the company) to shareholders or potential investors of a company could also give rise to civil liability for damage suffered as a result of a misleading or deceptive statement being made or information being given. For example, section 1041I sets out the civil liability for offence under s.1041E to s.1041H and provides that a person who suffers loss by the contravening conduct of another person may recover the amount of the loss or damage by action against the other person.

Scope of liability

Courts have been prepared to acknowledge some practical limitations on liability of experts for misleading material, such as that provided in documentation submitted to offerees under takeover bids. There still, however, remains scope for liability arising from misleading reports of a similar kind as that which was the subject of the Carr Boyd case (*Carr Boyd Minerals Ltd v Queen Margaret Gold Mines NL*).

In that case an expert's report accompanying a bidder's statement was found to be misleading. Certain assumptions and calculations made in the report were not linked nor did they explain any change in the value at the particular mine.

Wallace J found that an expert's report accompanying the bid statement contained a number of matters or items of information that were misleading in the form and context in which they appeared. In this case the plaintiff focused on the misleading or inadequacies of comments in support of a difference between a valuation of the gold mine at $80 M and the valuation of that same gold mine at $60 M by the same expert, three months earlier. There were two reports on valuation. In the second report certain factors (including changes in gold tax regime, moving forward of start-up dates for production, etc) were referred to but it was not apparent from the assumptions and calculations used in that report how they were linked to help to explain the increase in value of the mine.

Even if a clearly false or misleading statement is clarified in a separate part of a report, the expert may still be liable, notwithstanding the clarification is specifically referred to (see *Tonvill Pty Ltd v Stokes (Australasia) Ltd*). This case highlights the fact that if a false statement or assertion is contained in one part of a report or document, it is not simply cured if in some other place in that report the statement contradicts the false comment even if that false statement is contained in a passage that directs attention to the other passage.

Be aware of the potential impact subsequent events may have on an expert's report. While not directly relevant to a report or material provided under the JORC Code, the Solution 6 Holdings case (*ASIC v Solutions 6 Holdings Limited*) is instructive in that it found that where an expert opinion is expressed or recommendation made in relation to a decision to be made at a known time in the future and the expert subsequently becomes aware of a matter that could materially affect that opinion, it may be misleading to fail to take steps to supplement or vary the report or recommendation.

The above cases concern discrete reports in public reports. Whilst a Competent Person may provide a stand-alone report, or in the role of a director or an officer issue a report to the public, it is more likely that the Competent Person will provide material that will form the basis of a report to the public. This underlines the need for a Competent Person to check the form and context in which the company is providing its reports.

Materiality

The question of whether a statement that is made or information that is given in a report is misleading or deceptive may turn on the issue as to whether the statement or information was materially misleading or not.

There is no hard and fast rule regarding the threshold for materiality. Therefore, the Competent Person will need to be aware of the relevant materiality guidelines or threshold amounts of the disclosing company that will apply to a given report, as well as considering his or her own potential thresholds. Materiality may be a difficult concept (especially if there is not a formal process determining materiality, such as in a due diligence committee for a prospectus) depending on the report.

The JORC Code aims for transparency in reporting such that readers are provided sufficient information in a clear and unambiguous manner. Therefore, some degree of balance must be applied in order to provide enough information to cover the principle of materiality, while at the same time not detailing excessive information so as to make the report confusing – and potentially misleading – for the audience. The JORC Code sets out guidelines for the distinction between Exploration Results, Mineral Resources and Ore Reserves that the Competent Person must apply so as to establish an appropriate degree of materiality. Furthermore, the 2004

JORC Code recommends that Competent Persons provide details quantifying the risks associated with the subject of the report, which should provide additional guidance when producing reports to be consistent with the JORC Code.

There are two levels of materiality. A company must determine whether any particular results, for example, analysed under the JORC Code, are such that they need to be disclosed. Listing rule 3.1, subject to certain carve outs, provides that test.[4]

This is to be distinguished from 'materiality' as set out in section 4 of the JORC Code.[5] If a Competent Person provides, for example, a report to a joint venture regarding a particular mine, the context of that report needs to be borne in mind when both joint venturers are disclosing. The disclosure may take a different form and context if the joint venturers comprise a large multi-national on the one hand and a junior explorer on the other. Materiality, form and context may well differ. The touchstone is that the Competent Person must sign off the form and context in which his or her report is being provided, separately, to both entities in this case.

Consent of the Competent Person

As discussed, when a company issues its report containing material from the Competent Person, the company must obtain consent from the Competent Person as to the form and context in which the information appears.

It is important to note Clause 8 of the JORC Code.[6] In particular, in the introduction to that paragraph, it states that:

> *The report [that is, a public report issued by a company, not the documentation prepared by the Competent Person] shall be issued with the written consent of the Competent Persons as to the form and context in which it appears.*

If a disclosing company issues a public report or disclosure document without having obtained the written consent from the Competent Person, and such a report is potentially misleading and deceptive, the company may find itself in an action for damages by a disaffected investor. The Competent Person must do everything to ensure that what is disclosed by the company in reliance on the Competent Person's documentation is accurate both as to form and in context. If the company does so without the Competent Person's consent or alters the document or information from that which the Competent Person disclosed, the Competent Person may be able to rely upon that as a defence. An indemnity in any engagement or employment agreement between the Competent Person and the company would assist.

Defence to civil liability

A defence is available under s.1317S, which enables a court to relieve a person either wholly or partly from a civil liability, such as s.1041I, provided the person acted honestly and the person ought fairly to be excused from the contravention. It must be noted, however, that this defence is only available for a contravention of civil penalty provisions, such as when the claimant is seeking damages for the economic loss suffered.

It is important for the Competent Person to ensure that appropriate internal procedures are followed for the preparation and release of the Competent Person's documentation to the company internally. For the benefit of the Competent Person, he or she should obtain a sign-off agreeing to the form and context in which the analysis will appear.

Australian Consumer Law and state equivalent Fair Trading Acts

The application of s.18 of the Australian Consumer Law (ACL) and state equivalent Fair Trading Acts (FTA) require that:

- the information or advice was likely to mislead or deceive
- the information or advice was given by a corporation in trade or commerce (which can include dealing with customers or communicating with shareholders)
- the plaintiff suffered loss by reason of the information or advice.

An essential aspect is that s.18 ACL does not require a duty of care to be established and so it would seem to have a broader application than, for example, an action in tort for negligence. However, there are a number of exclusions which restrict the scope, such as that s.52 applies to corporations only, and not to individuals.

Nonetheless there is exposure to potential secondary liability under s.236, which provides that a person who suffers loss or damage by conduct of another person that was done in contravention of, among others, s.18 may recover the amount of the loss or damage by action against that other person or against any person involved in the contravention.

It is important to note that, despite the restrictions on the application of s.18 ACL, each of the state based Fair Trading Acts have equivalent provisions to s.52 TPA but without the restrictions on their application – with the exception of takeover or fundraising documentation under s.670A and s.728 respectively of the Corporations Act.

When is conduct 'misleading or deceptive', or 'likely to mislead or deceive' for the purposes of s18? The following may assist:

- there has to be a real prospect that the conduct will mislead, not a mere possibility; the word used is 'likely'
- failing to disclose information is potentially as misleading as disclosing false information
- to 'mislead' someone is to lead that person, on a reasonable basis to reach a false or erroneous conclusion.

Tort – negligent mis-statement

Negligent mis-statement involves proof of:

- the existence of a duty of care
- breach of the duty
- causation, based on proximity and reliance, of actual damage.

The test of whether there has been negligent misstatement is whether the advice or information was consistent with that of a reasonably competent professional in the relevant field.

4. Listing rule 3.1 states: 'Once an entity is or becomes aware of any information concerning it that a reasonable person would expect to have a material effect on the price or value of the entity's securities, the entity must immediately tell ASX that information.'

5. As follows: 'Materiality requires that a Public Report contains all the relevant information which investors and their professional advisers would reasonably require, and reasonably expect to find in the report, for the purpose of making a reasoned and balanced judgement regarding the Exploration Results, Mineral Resources or Ore Reserves being reported.'

6. Readers are referred to Clause 9 of the 2012 Code.

The information or advice need not to have been given to the recipient, being the person or company alleging they suffered damage (be it the company the report is completed for, or a third party relying upon it) as long as the relationship is sufficiently proximate, the information or advice was incompetent, was relied upon by the recipient and the loss was foreseeable.

ASIC Practice Note 55

It is also important for Competent Persons to be aware of ASIC draft PN 55, which provides that a Competent Person assumes responsibility for historical results and statements that are used, unless consent from the author of the historical results or statement is received and disclosed. This is of relevance whether a Competent Person is preparing an original report in compliance with the JORC Code, because it may be used again for another purpose at a later date, or if a Competent Person is using a previous report in a new report for another purpose, because they will need to either obtain the consent of the prior Competent Person or adopt the responsibility for the report themselves.

EXAMPLES

An example of the different liability provisions being applied is the case of *Charben Haulage Pty Ltd (Charben) v Environmental and Earth Sciences Pty Ltd (EES)* [2004] FCA 403. EES compiled various reports for Caltex, who then passed the reports onto Charben in order to market the sale of the property to Charben. Charben suffered loss and commenced actions against both Caltex and EES to recover such losses.

Claims against Caltex

It was held that Carben did not have an action against Caltex under either s.52 of the Trade Practices Act (TPA) (now s.18 ACL) or a negligent misstatement claim because the statements were made by EES, not Caltex. However, the case suggests that there may have been a basis for a claim under TPA (now the ACL) or negligent misstatement if Caltex had known that the report was misleading.

Also, the claim of negligence against Caltex failed, as there was no evidence that Caltex knew that the work proposed by EES would be insufficient to enable EES to properly complete the report.

Claims against Environmental and Earth Sciences Pty Ltd

The claim under s.52 TPA (now s.18 ACL) was upheld on the grounds that it was part of the business of EES to prepare such reports and that the publication of false or unjustified representations will ordinarily be regarded as conduct that is misleading or, at least, likely to mislead.

The negligent misstatement claim was rejected in this case due to lack of proximity. Although it was acknowledged that the general facts were based on a person producing a report on a technical matter for a client, knowing the report would be likely to be passed onto someone else, who might rely on the report in making a decision, this alone was not deemed sufficient. (See also *San Sebastien Pty Ltd v The Minister* and *Esanda Finance Corp v Peat Marwick Hungerfords*.)

Report commissioned by company – no protection

In relation to a report prepared by a Competent Person in accordance with the JORC Code, the link of proximity and reliance would seem hard to unseat because the Competent Person expressly assumes responsibility for the statement and such consent must be included in the public report. These outcomes are indicative of similar actions against a disclosing entity positioned between an expert providing a report and a third party investor relying on the contents of that report. Accordingly, it is not sufficient for a Competent Person to seek to rely on the company commissioning the report to act as a buffer for any resultant liabilities – the report must be prepared with reasonable care and diligence so as not be misleading or deceptive for any third party.

So do not take at face value information presented in another report or by the company. Alternatively, mention it – that you have not tested it, or assume it is accurate (if it is reasonable for you to do so, get an indemnity from your client for the information it provides).

Circumstances in which the company may be found liable centre around situations when the company ought reasonably to have known that the statements were misleading. These circumstances have included examples such as:

- the sample size used for the data was too small
- the exploration program was in too early a phase relative to the confidence level reported
- the report was prepared by a person who is not a Competent Person under the JORC Code (*ASC v MacLeod* (2000) 22 WAR 255).

SUMMARY

The issue for a Competent Person is one of risk management.

The potential liabilities for Competent Persons range from administrative orders, such as reprimand, suspension or expulsion of membership from the professional organisation, on the one hand, to statutory and civil liabilities, such as damages for economic loss and incarceration on the other hand. Accordingly, a number of measures must be undertaken to ensure that the liabilities are adequately minimised, including:

- Clear terms and purpose of engagement by the company of the Competent Person for the preparation of the report or the documentation of analysis enabling the preparation of the report.
- Thorough and professional fulfilment of the service by the Competent Person in preparing the documentation or report in accordance with the JORC Code, including express disclosure of any shortcomings or disagreements held by the Competent Person in relation to the use of the report by the company.
- Supplied information should not be taken at face value when preparing an independent expert report. Competent Persons should be satisfied that the information is reasonable or should carve it out of their report.
- Although of limited use, disclaimers should be included. The report should clearly outline what it is for and who can rely upon it and for what purpose. The report should directly link to the comment. The usual boilerplate (such as a disclaimer clause) at the end of a report should not be used as they don't always work.

- Retainer letters can be used to limit liability (but the competitive advantage to get the business and one's tolerance to risk – commercial issues – should be considered). Retainers should be limited in scope and quantum. Indemnity from the company as to the form and context in which the report may appear in any public disclosure (by the company) might also be required in the case of the company reproducing information without sign-off.
- While there is no need to be 'independent' in the JORC Code, nevertheless there is a need for a Competent Person to fulfil his or her professional obligations separate from the company, whether he or she is an independent contractor to the company, or an employee or officer of the company. To the extent of their professional obligations as a Competent Person, they are independent. The JORC Code requires full-time employee of the company to state that fact in any compliance statements (refer to Clause 8 of the JORC Code[7]). The relevant relationship should be disclosed, whatever it is, be it employee, independent contractor or officer/director of the company.
- The reasoning and technique employed to come to a decision should be carefully considered. There may be alternatives. The process adopted to arrive at a view should be clear.
- A clear summary of major assumptions, methodologies, dates, etc should be included. Working papers should be able to be used to 'verify' the statements and methodologies. Competent Persons should be aware of how their documentation will be dealt with and disclosed by the company in any Public Report.
- Misleading or deceptive statements or omissions should be avoided (refer above to the Carr Boyd case).
- Insurance should be considered and checked with the broker to ensure an adequate level of coverage is in place. This is particularly important if the Competent Person is an employee or officer of the disclosing company.

Competent Persons need to recognise that their engagement by disclosing entities to provide the professional reporting service, although for the benefit of reporting in accordance with the JORC Code, is in some ways also a means by the disclosing entities of shifting a degree of the liability for reports over to the Competent Person.

As a result, it is important for Competent Persons to ensure that the extent of their engagement is clear, whether as an employee or an external consultant, and that the purpose for which the report is being prepared is correctly specified from the outset. This will assist in enabling the Competent Person some degree of confidence regarding the reasonableness of the report and in minimising the scope of the liabilities that the Competent Person may be subject to.

A Competent Person must be particularly mindful of their position if they are also a director of the company. The Competent Person must consider the role they play as a Competent Person as well as being mindful of their legal duties and obligations as a director. When preparing material the Competent Person should ensure full disclosure of their position as a director of the company and clearly express that their role and professional obligation when preparing the such material is independent from their position with the company.

Finally, it is essential in the limiting of the liability of the Competent Person that the distinction is clear between that portion of a disclosure document that is by the company, as opposed to that portion of the disclosure document that has the consent of the Competent Person to the inclusion of the report in the form and context in which it appears only.

The position of the Competent Person differs from other experts on whose advice a company may rely. In most disclosing reports by a company, a valuer or other independent experts will often have their own report separate and discrete. The Competent Person's position is less clear. They often provide material to the company and the company issues it with possible changes in context. Nevertheless, the liability regime can still extend to a Competent Person and he/she must ensure that what is written and disclosed by the company is correct in the form and context in which he/she agrees.

7. Readers are referred to Clause 9 of the 2012 Code.